I. PURPOSE

The purpose of this policy is to establish a uniform system and set of procedures for North Carolina Department of Adult Correction (DAC) canteens that operate in the Cashless on the Net (CON) system.

II. APPLICABILITY

This policy applies to any DAC employee, in either Institutions or the DAC Controller's Office, who have responsibilities related to the management and discharge of fiscal activities directly related to all canteen operations at the facilities.

III. DEFINITIONS

A. Inmate Banking System (IBS)

The IBS Module within OPUS is a module specifically designed to enable both Facility Trust Fund staff and the Controller's Office Trust Fund Accounting Section to manage all financial aspects of offenders' personal funds held within DAC.

B. Cashless on the Net (CON) System

A DAC web-based cashless canteen application that allows offenders to purchase canteen items via electronic point-of-sale (POS) driven technology. The CON system is part of OPUS and is tied to the IBS to execute POS transactions efficiently and maintain accurate canteen inventory records and control.

C. Self-Service Portal Orders (SSP)

A North Carolina Financial System (NCFS) order for goods which are being requisitioned from a central supply warehouse or pharmacy location, and not inventoried to a warehouse's sub-inventory.

IV. POLICY

A. General

All canteen sales post from CON directly to IBS to the offender's individual trust fund account. Purchases are made by offenders by using an encoded card. These transactions are immediately deducted from the offender's IBS bank account balance and posted to the IBS module in OPUS.

CON maintains a perpetual inventory count of all canteen items so that as canteen sales occur, CON adjusts the canteen inventory balances automatically. All canteen invoices for merchandise purchases from canteen inventory vendors are also paid from IBS. The resulting profits of canteen sales less expenses are swept electronically from IBS to the Offender Welfare Fund (Welfare Fund) monthly.

1. Statutory Authority

   Pursuant to NC Gen. Stat. § 148-2(c), it is the policy of DAC to establish and operate cashless canteens at all Division of Institutions facilities for the benefit of all offenders, and to deposit regularly the revenue generated from canteen operations into local banks. The profits from Institutions canteens shall be deposited with the State Treasurer monthly in a fund denominated as the Offender Welfare Fund.

2. Authorization for Canteen Operations

   A canteen shall be operated within the confines of every Institutions facility housing offenders within DAC. The establishment of any canteen (including number and size) and/or the discontinuance of any canteen shall be approved by the Warden or designee and Region Director, subject to the final written approval of Director of Institutions Administrative Services and the DAC Controller (and Canteen/Welfare Accounting Section) or their designee(s). Both approval and notification should occur before any canteen is closed by the facility.

3. Offender Welfare

   All profits realized from canteen operations will be used for offenders' welfare in accordance with procedures contained in DAC-CNTR-800-05 Welfare Fund Policy.

4. Changes to Canteen (CON)

   All changes in policies and procedures related to accounting, fiscal, internal control, and reporting for canteens shall be made by the DAC Controller's Office. Operational changes or program/logic changes to the CON system shall be made by Institutions.

5. Accounting System Changes

   Any changes to the accounting systems shall be made only with approval of the DAC Controller's Office. In addition, NC Gen. Stat. § 143B-426.39 requires that the Office of the State Controller also authorize certain changes in accounting systems. The DAC Controller is responsible for seeking such approval when necessary. CON system changes are made with the approval of the Director of Institution Administrative Services or designee.

6. Requests to Modify or Change

   Facilities may request or recommend modifications or changes to improve the control, efficiency, and effectiveness of the canteen procedures or CON system itself. Any division or

facility seeking to modify, automate, or otherwise change existing canteen systems must seek approval from the DAC Controller via memorandum stating the general description of the proposed system or the changes to be considered, along with an anticipated date of the initial acquisition or modification process.

B. Access and Security

1. Access to Canteens

a) Double-Locked – All canteens shall be double-locked for security purposes. There shall be two completely different locks with different keys patterns or combinations.

b) Separate Keys – In order to ensure that both the Canteen Supervisor and the offender canteen operator are present when entering the canteen, the Canteen Supervisor shall keep one of the keys, and the offender canteen operator shall keep the second key. The Canteen Supervisor's key shall be maintained in key control or in the custody office. The key can then be checked in and out each day by the Canteen Supervisor, allowing other approved staff to let the offender canteen operator into the canteen as appropriate when the Canteen Supervisor is not available. The Warden or designee may maintain duplicate copies of the Canteen Supervisor's key for security and safety purposes.

c) Offender Operator's Presence Required – Only the offender canteen operator and the Canteen Supervisor shall be granted access to the canteens. If other staff members require entrance for a legitimate business purpose, the offender canteen operator shall be present. The Warden or designee shall develop a key control system that prevents other staff from entering a canteen when the offender canteen operator is not present. If an offender operator is not available for a monthly canteen inventory count due to disciplinary or other reasons, the count may be conducted and signed by two staff members.

2. ID Cards and CON Profiles

CON profiles are provided to users who have received training from Institutions Fiscal Training and Support Section or Institutions Cashless Canteen Section to perform the duties of the Canteen Supervisor, trust fund, or facility approver.

a) One Profile – Users shall have only one type (non-conflicting) profile at a time, unless special approval has been received from the Division of Institutions Fiscal Training and Support Section.

b) Profile Sharing – Users shall not share their profile with anyone else or sign onto CON using another staff member's profile. Sharing profiles is a security violation and may result in the staff member's CON profile being revoked.

c) Number of Assigned Profiles – Each facility shall assign a minimum of two staff members to a particular CON profile type. In certain cases, small facilities may assign four users to the trust fund CON profile.

d) Removing Staff Profiles – If a staff member has left the facility or is no longer performing duties requiring access to CON, the CON profile shall be removed from the staff ID associated with that staff member.

e) Canteen ID Cards – The offender canteen operator shall not use the Canteen Supervisor's ID card or a copy of the Canteen Supervisor's ID card.

f) Monitoring Profile Usage – Division of Institutions Fiscal Training and Support, and CON system support shall monitor and review the profile usage at each facility and shall notify Wardens of any security violations with the CON profiles.

V. ROLES AND RESPONSIBILITIES

A. Warden or Designee

1. Canteen operations.

2. Designees – If the Warden appoints a designee for canteen oversight or certain duties, a letter of authorization shall be written and shall identify the individual(s) designated and shall specify what duties or decisions that individual is authorized to fulfill or approve. The letter of authorization shall be maintained at the facility for audit purposes.

3. Separation of Duties – The Warden or designee shall ensure that the various canteen responsibilities are divided among the staff in such a way that protects the integrity of the process. No individual shall be assigned duties that conflict with one another and provide an opportunity to manipulate CON data or access CON inventory without accountability.

4. Supervision – The Warden or designee shall supervise the work of the Canteen Supervisor, Accounting staff, and Trust Fund staff.

a) Offender Canteen Operator Selection – With the assistance of the Canteen Supervisor, the Warden or designee shall be responsible for appointing offender canteen operators.

b) Hours of Operation – The Warden or designee shall establish the canteen hours of operation.

c) Approve Vendors – The Warden or designee shall be responsible for approving any new vendors and shall sign and date the approved vendor lists. Signed approved vendor lists shall be maintained at the facility for audit purposes.

d) Approve Invoices – The Warden or designee shall sign all invoices to approve expenditures prior to IBS checks being processed for the invoices.

e) Sign Checks – After the IBS checks are prepared by Trust Fund staff, the Warden or designee shall sign the checks after ensuring the required steps have been followed and confirming the vendor is on the approved vendor list.

f) Monthly Canteen Reports and Inventory Forms – The Warden or designee shall review and sign all the required monthly canteen reports and inventory forms and shall ensure that all reports are submitted when due.

g) Random Inspections – While the Canteen Supervisor generally oversees the daily canteen operations, the Warden or designee shall make random inspections of various canteen operations during the month.

h) Approve Spoiled or Damaged Merchandise – The Warden or designee must approve spoiled or damaged inventory that exceeds $100.00 per month.

i) DAC Property Incident Report IA-100 Form – If there is an inventory shortage that exceeds the allowed tolerance by $100.00 or more, the Warden or designee shall immediately complete the IA-100 to report the shortage and email the IA-100 to DAC Internal Audit.

B. Canteen Supervisor

Canteen Supervisors are responsible for the general management of canteen operations. Canteen Supervisors' responsibilities include, but are not limited to:

1. Managing everyday canteen operations;

2. Ordering and receiving merchandise;

3. Ensuring inventory is stored in a secure location;

4. Supervising the offender canteen operators;

5. Managing and selling prepaid debit cards and reading glasses at the Canteen Supervisor Store (debit cards and reading glasses shall not be sold by offender canteen operators at facility canteens);

6. Creating maintenance orders and receiving orders for postage stamps, whether sold in the facility canteens or in the mailroom store to indigent offenders;

7. Performing spot checks of canteen inventory on a weekly basis;

8. Providing count sheets for physical inventories and ensuring that the required monthly physical inventories are conducted. Canteen Supervisors shall not participate in the actual inventory;

9. Maintaining adequate canteen inventory;

10. Discounting canteen merchandise upon receiving proper approval;

11. Returning spoiled or damaged merchandise;

12. Entering invoices into the CON system; and

13. Ensuring that accurate merchandise price lists are properly posted in the canteens and merchandise price lists have been approved (copies of approved merchandise price lists shall be maintained at the facility for audit purposes).

C. Offender Canteen Operator

1. Selecting an Offender Canteen Operator – The Warden or designee, with the assistance of the Canteen Supervisor, shall be responsible for selecting an offender to operate the canteen. When considering potential candidates for offender canteen operator, the following information should be considered:

   a) Disciplinary records;

   b) Prior drug use in or out of prison;

   c) Prior record for theft in or out of prison;

   d) Prior record for gambling in or out of prison;

   e) Prior experience as an offender operator with no incidents of theft, etc.;

   f) Input from facility staff regarding offender's attitude, behavior, and tendencies;

   g) Offender's assigned housing should not be where the canteen is located; and

   h) Canteen Operators cannot have a prior out-of-variance as a canteen operator.

2. More than one offender may be justified at certain facilities to manage the volume of sales; however, only one offender is assigned to the canteen inventory and is responsible for that inventory. Canteen helpers are allowed in canteens only when the assigned canteen operator is present.

3. Wages – Offenders assigned to operate canteens shall be paid from the Incentive Wage Imprest account in accordance with the daily wage established for canteen operators and in accordance with DAC CNTR-800-03 Incentive Wage Imprest Fund Policy.

4. Initial Appointment – When a new offender is assigned the duties of the offender canteen operator, the offender will be advised of their canteen duties and responsibilities as defined on the DC-976 Offender Canteen Operator Rules and Regulations form.

5. New Offender Operators Initial Inventory – The new offender operator shall participate in a physical inventory at the time they are assigned as offender canteen operator. Once the inventory has been completed, the new offender canteen operator shall sign the bottom of

the DC-976 Offender Canteen Operator Rules and Regulations form, indicating they are accepting the inventory count as fair and taking responsibility for the canteen.

6. Supervision – Offender canteen operators shall be supervised by Canteen Supervisors and shall only have access to the offender sales portion of the CON system and the receiving of merchandise on the CON warehouse POS.

   a) Vendors – Offender operators shall not be allowed to meet vendors or receive merchandise without the Canteen Supervisor or designee being present.

   b) Limited Duties – Only Canteen Supervisors shall be authorized to sell prepaid debit cards or reading glasses from the Canteen Supervisor Store. Offender canteen operators shall not be authorized to sell prepaid debit cards or reading glasses at facility canteens.

   c) Work hours – Offender canteen operators shall work the hours established and posted by the Canteen Supervisor which have been approved by the Warden or designee. Generally, offenders shall not work more than eight hours per day and shall have limited down time.

D. Trust Fund Staff

1. Issue IBS Checks to Canteen Vendors – See Section VI. C. for detailed explanation on IBS check-writing process and approval requirements.

2. Reconcile the Delivery Tickets (pick tickets) from Central Supply Warehouse and Central Pharmacy with the NCFS Oracle requisition for the SSP order and the DC-195 Canteen Receipts and Expenditures Report. Note any discrepancies directly on the Canteen Purchases Report and have the Warden or their designee sign the report.

E. Facility Accounting Staff

1. Compare merchandise extended costs and invoice totals entered into CON with the vendor's invoice provided by the Canteen Supervisor.

2. Review all the monthly canteen reports for accuracy and completeness.

3. Sign and date each report as the staff member who reviewed and verified the report.

4. Obtain Warden or designee's signature for canteen reports.

5. Ensure all required monthly canteen reports and documents are assembled and complete, including appropriate signatures, and submit the canteen reporting package to DAC Welfare Accounting by the 10th working day of the following month.

F. DAC Welfare Accounting (Controller's Office)

1. Reviewing Monthly Canteen Reports – All monthly reports sent from Institutions to DAC

Welfare Accounting shall be reviewed to ensure that all required documentation is submitted and that reports are accurate and signed by the appropriate persons. DAC Welfare Accounting shall be responsible for reviewing all monthly canteen reports submitted by Institutions and reporting any exceptions noted in the review. Monthly canteen reports shall be submitted to DAC Welfare Accounting by the 10th working day of the month.

a) Reports shall be balanced and checked for mathematical accuracy.

b) DAC Welfare Accounting shall review the canteen reports to ensure that two required physical inventories, one at the end of the month and one unannounced during the month, were conducted during the month for each canteen and shall verify that ending inventory amounts agree on all forms submitted.

2. Reconciling the IBS Sweep with CON reports – DAC Welfare Accounting shall reconcile the IBS sweep amount with the amounts reported by Institutions in monthly canteen (CON) reports. DAC Welfare Accounting shall notify the Institutions Cashless Canteen and Fiscal Training and Support Sections of any discrepancies with the sweep amounts.

3. Reporting Inventory Shortages – DAC Welfare Accounting shall track facilities' reportable shortages. Any time a facility has a shortage that exceeds the allowable tolerance, the Warden shall provide a letter of explanation for the tolerance to be included in the facility's monthly canteen reporting package. DAC Welfare Accounting shall ensure that the letter of explanation has been included in the facility's canteen reporting package for the month in which the shortage occurred. In addition, DAC Welfare Accounting shall report the shortage (or overage) to the Director of Institutions Administrative Services and the Director of Internal Audit.

4. Reporting Exceptions – DAC Welfare Accounting shall prepare a memorandum to each facility having errors or exceptions in their canteen reporting for the month. The memorandum shall specify each error or exception and shall be distributed to the Warden, Director of Institutions Administrative Services, Region Director, and the Director of Internal Audit. Upon receiving the memorandum, the facility shall reply by returning the memorandum to DAC Welfare Accounting with the Warden or designee's signature, indicating they acknowledge the corrections and have taken any necessary steps to correct the errors or exceptions, within three days from the date sent.

VI. PROCEDURES

A. Merchandise

1. Ordering Merchandise

a) Canteen Supervisor Responsibility – The Canteen Supervisor shall place all canteen orders for merchandise and shall follow the guidelines established in this Section, VI. A. 1. c) when making purchases.

b) Approved Merchandise – Each canteen shall stock and sell only the category of items and adhere to the division policy on variety limits that are listed on the CON-022 Cashless On The Net Authorized Merchandise List developed by the Division of Institutions and approved by the Director of Institutions Administrative Services or designee, as appropriate for the custody classification of each facility.

c) Ordering Priority

i. If merchandise items are stocked in a DAC-operated warehouse (i.e., Central Supply Warehouse or Central Pharmacy), the items must be ordered from the Central Warehouse and/or Central Pharmacy.

ii. If an authorized merchandise item is not available at Central Supply Warehouse and/or Central Pharmacy, the item may be purchased from an authorized outside vendor. However, if the warehouse/pharmacy normally stocks the item but is temporarily out of the item being ordered, the facility shall obtain prior approval from the Director of Institutions Administrative Services or designee before ordering from an authorized outside vendor.

iii. Over the counter (OTC) medications shall not be purchased from an outside vendor. All OTC merchandise shall be purchased from Central Pharmacy.

iv. Each facility shall have an authorized vendor list that is maintained by the Canteen Supervisor and approved by the Warden or designee.

d) Merchandise Purchases Exempt from Sales Tax – Purchases for resale are not subject to sales and use tax at the time of purchase. However, vendors should have a sales tax exemption certificate on file for the DAC for the purchase to be exempt from sales tax. In some cases, an E-595E Streamlined Sales and Use Tax Certificate of Exemption Form is required to be completed for a vendor if they do not have a certificate on file for DAC.

e) To maintain strong inventory control and efficient operations within the canteens, facilities shall not carry excess inventory. Wardens or their designees shall ensure that merchandise shall only be ordered as needed.

2. Receiving Merchandise

a) Responsible Parties for Receiving Vendor Deliveries – Both the Canteen Supervisor or designated staff, and the offender canteen operator are responsible for receiving, securing, and inspecting incoming merchandise. Both the Canteen Supervisor and the offender canteen operator must be present to receive merchandise into the CON system. If either one is unavailable when merchandise is received from a vendor, custody staff shall keep the merchandise in a secure locked location until both are available to receive the merchandise.

b) Accepting Merchandise – The Canteen Supervisor is responsible for accepting or rejecting an order after inspecting the merchandise.

i. All merchandise shall be inspected and compared to the invoice or packing slip to ensure the order is correct and that there is no contraband.

ii. The canteen supervisor shall also review expiration dates on delivery boxes to ensure that none of the merchandise has expired. Any merchandise with expired dates shall be refused.

iii. If items have been refused or the actual product received differs from the invoice or packing slip, the delivery driver, when possible, can adjust the invoice to reflect the actual product received. If the delivery driver cannot adjust the invoice, the canteen supervisor shall contact the vendor to issue a corrected invoice or credit memo to submit with the monthly canteen report.

iv. Facility staff shall not accept samples from vendors.

c) Invoice or Packing Slip – All questions concerning invoices or packing slips shall be referred to the Canteen Supervisor. Once the order has been inspected and accepted, the Canteen Supervisor, the delivery driver, when possible, and the offender canteen operator shall all sign and date the original vendor invoice or packing slip acknowledging receipt of all merchandise.

d) Entering Merchandise in CON System – The Canteen Supervisor and the offender canteen operator are jointly responsible for scanning goods received from the Central Supply Warehouse, Central Pharmacy, or an outside vendor into the CON system.

i. To begin entering merchandise, the Canteen Supervisor shall swipe their canteen ID card to approve the CON system receive order process.

ii. A new order number will be generated by the CON system for tracking orders when the merchandise from a new delivery is to be scanned into CON. The Canteen Supervisor shall write this order number on the invoice or delivery ticket associated with the order.

iii. The offender canteen operator shall scan each inventory item listed on the vendor invoice, packing slip, or pick ticket, but only those item quantities which are received. The offender operator shall enter the quantity received and then scan the bar code of the inventory item into CON. Only products from the current delivery shall be used to scan the barcode into CON. Items that are already located in the warehouse shall not be used to enter bar codes for entering a new delivery. This will prevent the wrong barcode from being scanned into CON. The offender operator does not scan any overhead items (non-merchandise items) received on an order (i.e. condiments or paper products). The Canteen Supervisor shall be responsible for creating and receiving overhead orders into CON.

iv. Once all the inventory merchandise has been scanned, the offender canteen operator shall print a “Print Preliminary” receipt to verify that the quantities

entered match the quantities received, as reflected on the vendor invoice, or as the invoice was adjusted at delivery if necessary. If the preliminary receipt matches the quantities received, the offender canteen operator shall tender and print the point-of-sale (POS) receipt for the order and initial it.

v. After the offender canteen operator has scanned all the merchandise items into CON, the Canteen Supervisor shall review the order for accuracy and then "receive" the merchandise into CON. The Canteen Supervisor shall print the CON Order Maintenance screen for the received order.

vi. Once the order has been "received," the CON system then recognizes the new merchandise as approved and is entered into the perpetual inventory count for the canteen.

e) Entering Non-Merchandise Orders – The Canteen Supervisor shall be responsible for creating a new order or for appending scanned orders in the system to enter non-merchandise items (overhead), including items such as condiments and paper products. These items are manually entered into CON and not scanned into the offender canteen operator's POS computer.

f) Order Adjustments – If an error was made when the maintenance order was created by the offender canteen operator and the Canteen Supervisor already received the merchandise, an adjustment order must be created in CON to correct the error. Follow procedures in the CON Manual for creating order adjustments.

g) Documentation Provided to Trust Fund Staff – Once the order has been entered and received into CON, the Canteen Supervisor shall provide the following documents to Trust Fund staff:

i. The original invoice, signed and dated by the driver, when possible, the offender canteen operator, and the Canteen Supervisor;

ii. The POS receipt initialed by the offender canteen operator; and

iii. A printout of the CON Order Maintenance screen.

h) Discrepancies – The Canteen Supervisor shall be responsible for resolving any discrepancies found by Trust Fund staff. Any documentation used to resolve a discrepancy shall be maintained at the facility by the Canteen Supervisor.

i) Returns for Damaged or Spoiled Merchandise

i. Damaged Goods from Central Supply Warehouse – Damaged goods (tennis shoes, watches, and radios/earbuds, etc.) received from Central Supply Warehouse that have not been issued to an offender shall be returned using a DC-754 Request for Item Return. If the merchandise was scanned into the CON inventory, a return credit invoice can be created in CON to remove the merchandise from the inventory. The

DC-754 must be approved by Central Supply Warehouse prior to the merchandise being returned. The DC-754 shall be sent to the Central Supply Warehouse at least seven days prior to the regularly scheduled delivery of SSP order items, so that the driver for Central Supply Warehouse will have authorization and will be notified to pick up the damaged goods. Both the Central Supply Warehouse driver and the Canteen Supervisor shall sign the DC-754 when the damaged merchandise is picked up. The accounting staff shall keep one copy of the DC-754 at the facility, and one copy shall be sent to DAC Welfare Accounting when the other canteen reports are sent in for that month.

ii. Damaged Goods from Central Pharmacy – Expired and damaged over-the counter medications or hygiene products purchased from Central Pharmacy shall be returned following the same procedures outlined under Damaged Goods from Central Supply Warehouse. The DC-754 shall be sent to Central Pharmacy for approval prior to the regularly scheduled delivery by Central Supply Warehouse (Central Supply Warehouse delivers merchandise ordered from Central Pharmacy). The delivery driver and the Canteen Supervisor shall sign the DC-754 at the time the damaged or expired pharmacy items are picked up. If the merchandise was scanned into the CON inventory, a return credit invoice can be created in CON to remove the merchandise from the inventory.

iii. Spoiled or Damaged Inventory from Outside Vendors – Spoiled or damaged items from vendors shall be set aside from regular inventory merchandise until a credit can be issued or an exchange made. Vendors will usually exchange spoiled or damaged goods on a one-for-one exchange basis or issue a credit. If the vendor does not physically remove the spoiled or damaged item, it shall be disposed of by the Canteen Supervisor after proper approval from the Warden or designee. The Transfers/Damage/Spoil report is used to identify items damaged or spoiled and shall be part of the monthly reporting package to DAC Welfare Accounting. A reason for damage shall be provided in the report, such as: “can was crushed.” It is not sufficient to simply state that items were “damaged.” Reports containing spoiled or damaged items exceeding $100 shall be signed by the Warden or designee.

iv. Reporting and Entering Damaged or Spoiled Inventory in CON

a. The Canteen Supervisor shall be responsible for returning merchandise to an outside vendor or to the Central Supply/Central Pharmacy Warehouses.

b. If merchandise needs to be returned, the transaction shall be entered in CON as a return and not as an order adjustment.

c. All items to be returned are transferred to the CON warehouse location. The Canteen Supervisor shall enter a credit invoice to remove the merchandise from the CON inventory.

d. The CON system will generate a credit invoice for the returned items, and the

Canteen Supervisor and the offender canteen operator shall both sign the credit invoice.

e. The Canteen Supervisor shall then provide the signed credit invoice for damaged items being returned to the trust fund staff.

3. Pricing Merchandise – Since all canteen merchandise is entered in the CON inventory system by bar code, CON can automatically calculate the correct merchandise price. Institutions Cashless Canteen Operations has set up merchandise categories to ensure CON correctly prices merchandise, based on taxability and allowable markup.

   a) Overhead items (i.e. paper/plastic products, such as napkins, utensils, and condiments, etc.) are not considered merchandise and shall not be sold in the canteens. Cups and plates are not considered overhead items and may be sold at cost to offenders. Overhead items that are not sold are entered into CON by the Canteen Supervisor and are not included in CON inventory for which the offender canteen operators are responsible.

   b) Merchandise Item Code – Each merchandise item shall be coded for tax purposes. The tax category level will indicate one of the following: taxable canteen merchandise; non-taxable canteen merchandise; grocery food item (subject to 2% sales tax).

   c) Price Calculation – CON will automatically calculate an item's sales price to include a 25% markup plus sales tax, depending on the item's tax category.

   d) Fuel Surcharges – Fuel surcharges, which have been added to invoices to recover fuel costs, shall be entered in the "Other Charges" field in the CON system. The CON system will allocate the fuel surcharges to each item on the invoice and will therefore be included in the merchandise cost.

   e) Merchandise Pricing Exceptions:

      i. Hygiene Items – CON includes a 20% markup when calculating the price for a hygiene item. CON will compute the price of a hygiene item(s) at cost plus the markup and applicable sales tax. All items marked as hygiene items in CON will be listed as either a hygiene item or an indigent hygiene item.

      ii. Over-the-Counter Medications from Central Pharmacy – CON includes the 25% markup when it computes the price of an over-the-counter medication. CON will calculate the price as the cost of the over-the-counter medication at cost plus the markup and applicable sales tax.

      iii. Central Supply Warehouse Items – Retail prices for merchandise received from Central Supply Warehouse are set by the Director of Institutions Administrative Services or designee, and the updated retail prices will be entered by the Customer Support Analyst for CON Training and Support for these merchandise items (i.e. tennis shoes, watches, batteries, etc.).

iv. Stamps – Stamps shall be sold at cost with no markup and no sales tax and shall be purchased directly from the US Postal Service as needed.

v. Prepaid Debit Cards – Prepaid debit cards shall be sold at cost with no markup and no sales tax. However, if there is a bank fee in connection with the purchase or use of the debit cards, the bank costs shall be passed on to the offender.

f) Price Lists – The Canteen Supervisor shall ensure that an accurate merchandise price list is signed and approved by the Warden or designee and posted at each canteen where they are visible to canteen customers. The price lists shall be enclosed in a type of protective cover to keep the price lists from being altered by someone who is unauthorized to make price changes. Copies of the price lists shall be kept on file at the facility for audit purposes.

g) Retail Price Increases/Decreases – Retail markup changes may only be made by the Director of Institutions Administrative Services or designee. If there is a retail price increase or decrease, CON will adjust the merchandise price overnight, and the Canteen Supervisor shall ensure that a new price list is approved and posted in each canteen.

h) Discounting Items – The Warden or designee may authorize the Canteen Supervisor to reduce the price of merchandise that is not turning over in the canteens. Only discontinued items may be discounted. The authorization to reduce an inventory item shall be in the form of a memorandum from the Warden or designee to the Canteen Supervisor. The memorandum shall identify the specific inventory item(s) to be discounted, listing the current merchandise price and the new discounted price.

i) Vendor Rebates and Discounts – Any savings realized by discounts or rebates from vendors shall be passed on to the offenders by reducing the purchase price.

4. Transferring Merchandise Between Facilities – There may be occasions when a canteen is overstocked with various inventory items that it will not be able to sell, but another facility canteen may have use for that same merchandise. In those circumstances, the Director of Institutions Administrative Services or designee may authorize transferring the merchandise to the other facility.

a) The offender canteen operator at the transferring facility shall begin by swiping their access card to log into the CON system to initiate the transfer transaction.

b) The offender canteen operator shall select the “Transfer” option from the “Sale” screen to initiate the transfer. The Canteen Supervisor at the transferring facility shall then swipe their card to authorize the transfer transaction to begin, and the Canteen Supervisor at the receiving facility shall swipe their card to authorize the receiving of the merchandise being transferred.

c) The offender canteen operator from the transferring facility shall then scan each inventory item to be transferred to the other facility, ensuring that the inventory item

quantities are correct. All transfer transactions must be accomplished from the warehouse of the transferring facility.

d) Once all the inventory items to be transferred have been scanned into the CON system, the Canteen Supervisor at the transferring facility shall print a preliminary receipt to verify the item descriptions and quantities being transferred are correct. Once the Canteen Supervisor is satisfied that the transferring inventory has been entered correctly, the transfer shall then be "tendered" by the Canteen Supervisor at the transferring facility.

e) After the "Tender" button has been entered to complete the transfer, a receipt will automatically print. This receipt should be included in the Canteen Supervisor's monthly canteen reporting for the transferring facility. Likewise, the receiving facility shall reprint the receipt to include in the monthly canteen reporting for the receiving facility.

f) The transferred inventory is received into the Canteen Supervisor's Store in the CON system for the receiving facility.

g) The Canteen Supervisor for the receiving facility shall check the inventory for the Canteen Supervisor's Store by printing and reviewing inventory count sheets to ensure the transferred inventory has been received correctly. After the Canteen Supervisor is satisfied the inventory is correct, the inventory count for the Canteen Supervisor's Store can be posted.

h) After the transferred inventory has been posted to the receiving Canteen Supervisor's Store, the inventory shall then be physically transferred to the receiving facility's canteen warehouse from the canteen supervisor's system.

i) The offender canteen warehouse operator shall sign the transfer receipt once the transfer has been completed to the warehouse.

B. Sales and Other Receipts

1. CON sales are processed and posted electronically to IBS and include four types of canteen receipts:

   a) Sales-Taxable;
   b) Sales-Non-Taxable;
   c) Sales Tax; and
   d) Other Receipts.

   The monthly receipts are summarized on the DC-194 Monthly Canteen Report (which is generated by CON) under Line 1, items A through D.

2. Facility Canteen Sales (NCFS Account 44150000)

a) To log into the CON system, the offender canteen operator shall scan their state-issued ID card. Once the offender canteen operator has logged into CON, they can begin selling canteen merchandise.

b) The offender canteen operator shall then scan the offender customer's ID card, which is linked directly to the offender's trust fund account.

c) The offender canteen operator shall then scan the bar code of each merchandise item the offender customer (or "non-offender" customer) is purchasing.

d) Once the offender canteen operator has scanned all the items for the purchase and tendered the sale in CON, the CON system will print a receipt which shall be given to the offender (or "non-offender) customer.

e) Canteen merchandise shall not be sold to offenders or facility staff on credit. Facility staff shall be responsible for ensuring that there are no credit canteen sales, whether to offenders or employees.

3. Canteen Supervisor Store Sales – Certain items shall not be available for sale in facility canteens by the offender canteen operators and shall be sold only by the canteen supervisors in canteen supervisor stores (i.e. prepaid debit cards and reading glasses).

a) Prepaid Debit Cards

Prepaid debit cards are only available for purchase through Canteen Supervisor Stores in certain situations. Only work release facilities are authorized to purchase and sell debit cards to offenders who are assigned to work release, community volunteers, or home leave.

i. Ordering and Receiving Prepaid Debit Cards – Canteen Supervisors shall be responsible for creating maintenance orders and receiving orders for prepaid debit cards.

ii. Price for Prepaid Debit Cards – The facilities shall be responsible for making arrangements with the banks to purchase prepaid debit cards in the dollar amount of $25, $35 and $50. Any bank fees charged for the purchase of the debit cards shall be passed on to the offender, but the prepaid debit cards shall not be sold with any markup.

iii. Prepaid Debit Card Inventory – Canteen Supervisors shall be responsible for the prepaid debit card inventory and shall ensure that the Canteen Supervisor's Store does not carry large quantities of prepaid debit cards.

iv. Sales of Prepaid Debit Cards – Only the Canteen Supervisor may sell prepaid debit cards through the canteen supervisor's store.

v. Maximum Amount – An offender may request up to $50 per week (plus the debit

card bank fee) through work release, or a maximum of $360 per month. This $360 amount includes all three areas of work release, community volunteers, and home leave. The amount requested shall be drawn down from the work release system for the prepaid debit card purchase.

a. Offenders are only allowed to have one prepaid debit card at a time, unless the value of the debit card is $10 or less.

b. If the offender's debit card is $10 or less, they may purchase a second card with a maximum amount of $50. At no time shall an offender have more than $60 of value in debit cards.

c. The card with $10 or less shall be used up and closed out before using the new debit card.

vi. Use of Prepaid Debit Cards – Offenders are required to make all debit card transactions in person and shall not make debit card purchases over the phone or the internet.

b) Offender Reading Glasses – Offender reading glasses are ordered from Correction Enterprises and sold through the Canteen Supervisor Store.

i. If an offender wishes to purchase reading glasses, they shall complete a DC-963 Inmate Special Draw Request for Tennis Shoes or Reading Glasses and shall give the request to facility Trust Fund staff to initiate the special draw.

ii. Trust Fund staff shall enter the offender's request for reading glasses into IBS.

iii. Once the offender's request has been entered, IBS will place a hold on the offender's account for the dollar amount of the reading glasses.

iv. IBS will also print two copies of the receipt for the purchase request. One copy shall be given to the offender (receipt without the signature line), and the other receipt (with the signature line) shall be given to the Canteen Supervisor. The Canteen Supervisor shall use their copy of the receipt to order the reading glasses from Correction Enterprises.

v. The cost of the offender's reading glasses shall be established by the Division of Institutions and Correction Enterprises.

vi. The Canteen Supervisor shall be responsible for placing offender reading glasses orders with Correction Enterprises. (Please see CON Manual for detailed instructions for placing orders – Canteen Operations).

vii. Once the reading glasses have been received from Correction Enterprises, the Canteen Supervisor shall enter the glasses into the Canteen Supervisor's Store in the CON system and shall also enter the order number and the Stock Keeping Unit (SKU)

number on the Offender Reading Glasses Purchase – Special Draw Receipt used to order the glasses.

viii. The Canteen Supervisor shall then have the offender sign the original Offender Reading Glasses Purchase – Special Draw Receipt and shall swipe the offender's ID card to sell the reading glasses to the offender through CON.

ix. IBS will remove the hold against the offender's IBS account for the reading glasses once the sale has been completed in CON.

x. At the end of the month, facility Trust Fund staff shall pay the Correction Enterprises Operation invoices from IBS (IB42 check) in the same manner as the external canteen vendors. A copy of the invoice shall be submitted with the monthly facility canteen report to DAC Welfare Accounting.

xi. If reading glasses need to be returned for some reason, the Canteen Supervisor shall be responsible for returning the glasses to Correction Enterprises and placing a corrected order.

xii. The Reading Glasses Purchase – Special Draw Receipt shall be maintained with the monthly canteen reports.

4. Sales to Indigent Offenders

a) All indigent sales shall be made through the CON system, including tickets for stamps.

b) The indigent offender shall present their ID card when making a purchase.

c) The offender canteen operator shall swipe the indigent offender's ID card when making a sale to an indigent offender. If the indigent offender has funds in their IBS account, the indigent offender's account shall be debited for the amount. If the purchase exceeds the amount in the indigent offender's trust fund account, the offender's account shall be debited for the amount available in their IBS account, and the balance of the sale shall be covered by welfare funds.

d) Indigent Stamps

i. The Warden or designee shall appoint two mailroom officers the responsibility of handling indigent stamps. These mailroom officers will be responsible for the indigent stamp inventory.

ii. An indigent offender shall initially receive an indigent stamp ticket issued from CON which is good for 30 days. An indigent offender shall be allowed to receive up to 10 stamp tickets in a 30-day period.

iii. Upon being issued the indigent stamp ticket (receipt), the indigent offender's name will display on the mailroom officer's mailroom store list as qualifying for indigent

stamps, and the offender can then go to the mailroom store with their letter to be mailed. Indigent offenders do not receive first-class postage.

iv. The two mailroom officers assigned the duty for indigent stamps shall be responsible for issuing the stamps in CON and placing postage on the offender's envelope. The CON system tracks how many stamps have been issued to the offender for that 30-day period. Postage meters are no longer used for issuing indigent stamps.

v. First-class postage stamps that have been confiscated shall be added back to the CON indigent postage inventory. (Please refer to the CON Manual – Canteen Operations: I. Confiscated Postage Stamps for detailed procedures for adding confiscated postage stamps back into canteen inventory).

vi. Because staff operate all CON mailroom stores, variances created by adding confiscated postage back to inventory are ignored with regards to disciplinary action. However, a justification memo shall still be prepared to be included with the facility's monthly canteen report to Welfare Accounting to notify management of the variance, to explain the reason for the variance, and to provide documentation for audit purposes.

5. Offender Service Clubs

a) Canteen Merchandise Sales to Offender Service Clubs

If inventory is available through the canteens, the offender service clubs shall purchase merchandise needed for their fundraisers or meetings from the facility canteens before purchasing from an outside vendor. Canteen merchandise sold to offender service clubs shall be sold through a canteen warehouse.

i. The offender canteen operator shall scan their canteen ID card to log in to CON to initiate the sale to the offender service club.

ii. The Canteen Supervisor shall select the "Special Accounts" option and swipe their ID card to approve the sale to the offender service club.

iii. The facility staff who is responsible for picking up the canteen merchandise for the offender service club shall present their own ID card for scanning into the CON system to purchase and receive the merchandise.

iv. Canteen cards shall be created for offender service clubs that purchase canteen merchandise for fundraisers and club meetings. The card shall indicate which service club to debit (i.e. SERVCE1, SERVCE2, NARCOT1, etc.) for the sale. The service club canteen card is then swiped to complete the sale.

v. After the sale has been completed, CON will print a receipt for the merchandise purchased by the offender service club. Trust fund staff and the service club coordinator shall keep a copy of the sales receipt on file for audit purposes.

b) Service Club Fundraiser Ticket Sales through the Canteens – Facilities are allowed to sell offender service club fundraiser tickets through the facility canteens.

i. Sale of Fundraiser Tickets – Tickets for the offender service club fundraisers may be purchased four days in advance of the fund raiser event.

ii. Refund for Unused Fundraiser Tickets – If an offender purchased a fundraiser ticket but did not receive the fundraiser item purchased, the Canteen Supervisor shall process a refund for the offender through CON, if the receipt is not older than 14 days. If the offender is refunded, the Canteen Supervisor shall stamp the offender's receipt "offender refunded," and shall initial and date the receipt. The Canteen Supervisor shall maintain a copy of the original receipt with the refund documentation for audit purposes and shall return the original refund receipt to the offender.

6. Offender Tennis Shoe Sales

Offender tennis shoes are sold either through the Central Supply Warehouse or directly from Union Supply. Tennis shoes shall not be stocked in the canteens and can only be purchased from the Central Supply Warehouse when the offender's size is available by using the procedures outlined below. If the offender's tennis shoe size is not available from the warehouse, the offender must order the shoes directly from Union Supply's shoe program.

a) If an offender wishes to purchase tennis shoes, they shall complete a DC-963 Inmate Special Draw Request for Tennis Shoes or Reading Glasses and shall give the request to facility Trust Fund staff to initiate the special draw.

b) Trust Fund staff shall enter the offender's request for tennis shoes into IBS.

c) Once the offender's request has been entered, IBS will place a hold on the offender's account for the dollar amount of the tennis shoes.

d) IBS will also print two copies of the receipt for the purchase request. One copy shall be given to the offender (receipt without the signature line), and the other receipt (with the signature line) shall be given to the Canteen Supervisor. The Canteen Supervisor shall use their copy of the receipt to complete the SSP order to Central Supply Warehouse for the tennis shoes.

e) Once the SSP order has been created, the Canteen Supervisor shall ensure that the item number and the SSP order number have been entered on the Canteen Supervisor's copy of the Offender Tennis Shoe Purchase – Special Draw Receipt.

f) Once the tennis shoes have been delivered to the facility, the Canteen Supervisor shall

have the offender sign the original Offender Tennis Shoe Purchase – Special Draw Receipt used to place the SSP order and shall swipe the offender's ID card to complete the sale in CON.

g) IBS will remove the hold against the offender's IBS account after the sale has been completed in CON.

h) All canteen sales are final, but if the Canteen Supervisor determines that an offender can return defective shoes, the Canteen Supervisor shall be responsible for accepting the tennis shoes to be returned, as well as returning the shoes to the warehouse and initiating a corrected SSP order. (Please refer to the CON Manual regarding specific procedures for returning tennis shoes).

i) The Offender Tennis Shoe Purchase – Special Draw Receipt shall be maintained with the monthly canteen reports.

7. Vendor Rebate and/or Refund Checks

a) Depositing Vendor Rebate/Refund Checks – For vendors that are to be removed from a facility vendor list and therefore will not be doing anymore canteen business with a facility, it may be necessary to deposit a vendor rebate check. In other instances, a current vendor may send a refund check in lieu of a credit memo to clear out an owed credit. These types of checks shall be deposited separately and credited to "Other Receipts" (NCFS Account 44390000). Trust fund staff shall prepare the deposit and ensure the check is credited to the appropriate facility and canteen.

b) The facility shall request all vendors to issue rebate checks payable to the North Carolina Department of Adult Correction (Facility Name) Canteen Fund.

c) The following information shall be written on the check remittance, of which a copy is sent to DAC Welfare Accounting with the monthly canteen report.

Rebate Deposit # _____ Amount _____ Date_____

d) Regular credits and rebates for active vendors must be processed through and reflected in the vendor invoice that is sent with merchandise. This way any savings realized from the vendor rebate or credit can be passed on to benefit the offenders.

e) No employee or offender shall accept free samples from vendors.

f) Vendor promotional items or prizes shall not be redeemed.

8. Sales Summary Report

a) The DC-263 Sales Summary Report shall be approved by the accounting supervisor and signed by the facility warden or designee.

b) The DC-263 shall be submitted to DAC Welfare Accounting, along with the other monthly canteen reports and a copy shall be maintained at the facility for auditing purposes.

C. Disbursements

1. Outside Canteen Vendor Purchases

Outside vendors shall be paid by IBS (Trust Fund) checks for canteen merchandise delivered.

a) The Canteen Supervisor shall provide the original invoice, the POS receipt and a printed copy of the CON Order Maintenance screen to Trust Fund staff. Trust Fund staff shall ensure the invoice has all the required signatures and approval. The invoice must be:

i. Initialed by the delivery driver (when possible);

ii. Signed by the Canteen Supervisor and date-stamped;

iii. Signed by the offender canteen operator;

iv. Stamped with the Warden stamp; and

v. Signed by the Warden or designee.

b) Indigent stamp receipts received from the US Postal Service should not be signed for by the offender canteen operator. Mailroom staff receiving the stamps should write on the receipt “INDIGENT.”

c) Trust Fund staff shall review invoices when they are received and compare the invoice to the CON Order Maintenance screen to verify the information posted in the CON system matches the invoice. Trust Fund staff shall notify the Canteen Supervisor if any discrepancies are found. Any discrepancy shall be resolved before an IBS check shall be issued to a vendor.

d) Paying Vendors Upon Delivery of Merchandise

i. Trust Fund staff shall hold the original invoices, the CON Inventory Adjustment Orders screen, and the POS receipt until payments are made to the vendors.

ii. All invoices shall be paid at least 2-3 days before the end of each month and shall be stamped “Paid” once a check has been issued to the vendor.

iii. If additional merchandise or inventory is delivered after the canteen IBS checks have been written for the month, additional checks may be issued to the vendors so that merchandise delivered during the month is paid for prior to the start of the next month.

e) IBS Check Documentation and Filing

i. Once an IBS check has been issued, the IBS check number shall be written on the invoice and the invoice shall be stamped "Paid."

ii. The accounting staff shall ensure that the total invoices paid to vendors for the month equals the total on the DC-194 – Monthly Canteen Report (Line 2A).

iii. A copy of all canteen invoices shall be maintained with the facility canteen reports, and the originals shall be sent to DAC Welfare Accounting with the monthly canteen reports.

iv. DAC Welfare Accounting does not need a copy of the POS receipt. The facility shall keep the original POS receipt, along with the other canteen reports, at the facility for audit purposes.

2. Central Supply Warehouse or Central Pharmacy Purchases

a) Payments – Canteen (IB42) checks are not written to Central Supply Warehouse or to Central Pharmacy for SSP orders entered on NCFS. The warehouse SSP orders are paid electronically by DAC Welfare Accounting – Controller's Office at the beginning of each month.

b) Documentation Review and Reporting

i. The Canteen Supervisor shall provide copies of the Central Supply Warehouse and the Central Pharmacy Delivery Tickets (pick tickets) to the trust fund staff. Copies of the CON invoices for Central Supply Warehouse and Central Pharmacy deliveries shall be attached to the pick tickets.

ii. Trust Fund staff shall ensure the pick tickets are signed by the Canteen Supervisor (or staff member that accepted the delivery), the offender canteen operator, and the Warden or designee, and the invoice is stamped with the Warden's canteen stamp.

iii. Trust Fund staff shall compare the pick tickets to the NCFS Oracle requisition for the SSP order and the DC-195 Canteen Receipts and Expenditures Report.

iv. Any discrepancies between the Central Supply Warehouse and Central Pharmacy pick tickets and the Canteen Purchases Report shall be written directly on the Canteen Purchases Report. The Warden or designee shall then sign the report.

v. Accounting staff shall submit the following to DAC Welfare Accounting, along with the other monthly canteen reports and documentation:

a. The signed pick tickets and copies of the Order Maintenance Screens for Central Supply Warehouse and Central Pharmacy; and

b. The signed Canteen Purchases Report.

3. Correction Enterprises Purchases

a) Correction Enterprises Accounting shall mail invoices for offender reading glasses to the facilities within a couple of days of delivering the glasses.

b) As with the canteen outside vendors, Trust Fund staff shall pay Correction Enterprises invoices with IB42 check(s) at the end of the month.

c) Copies of the invoices shall be submitted along with the monthly canteen reports to DAC Welfare Accounting.

D. Inventory

1. The CON system maintains a perpetual inventory of canteen goods available for resale. Therefore, at any given time, a physical inventory taken for a canteen should reflect the inventory on record within the CON system for that canteen. Physical inventories are a means of safeguarding the canteen merchandise and ensuring that inventory is properly recorded and counted. In addition, regular inventories help prevent thefts or misuse of inventory and can identify irregularities on a timely basis.

2. Inventory Levels and Locations

a) Inventory Levels – The Warden or designee shall be responsible for ensuring that inventory items are not overstocked and are kept to a minimum. Retail inventory levels shall not exceed an average of $40.00 - $50.00 per average number of offenders housed at the facility. The average for several months shall be used to determine appropriate inventory levels.

b) Inventory Storage – Canteen items shall be stored in the canteens or the canteen warehouses. Due to limited space, canteen items may be stored in another secure location with dual lock control (i.e., cages, closets, etc.).

3. Types of Physical Inventories

a) Initial Inventory – The Warden or designee shall ensure that a physical inventory is taken each time a new offender canteen operator is put in place. The new offender canteen operator shall participate in taking the initial inventory. Once the inventory process is complete, the offender canteen operator shall sign and date the inventory, indicating that they are taking responsibility for the canteen inventory at that time. The initial inventory is the only time that the offender canteen operator participates in a physical inventory count of their own canteen.

b) Monthly – Canteen Supervisors shall be responsible for ensuring that at least two physical inventories are taken each month. The first inventory count shall take place on

the first working day of each month, and it will serve as the prior month's ending inventory count. The second required physical inventory date shall be unannounced and shall be conducted at least 10 days after the first inventory between the second week through the third week of each month on various days. Canteen Supervisors shall ensure that any same-day deliveries have been fully executed, and goods have been properly stored and recorded into CON before starting the inventory count procedures.

c) Year-end inventory shall be taken on June 30th each year (or as close to June 30th as possible) to ensure an accurate year-end inventory count is reported on the Department's financial statements.

d) Spot Checks – In addition to the mid-month and month-end inventory counts, Canteen Supervisors shall complete spot check counts on select inventory items during the month (at a minimum weekly per canteen).

i. A spot check will include opening boxes such as coffee or candy to verify that the boxes contain what they should.

ii. Canteen supervisors shall sign a copy of the spot check counts, which shall be kept on file for audit purposes.

iii. If a problem is found during spot check counts, the store shall be closed, and a full and complete inventory count of all canteen goods shall be conducted.

4. Physical Inventory Procedures

The Canteen Supervisor is responsible for ensuring that every month's first inventory count is conducted on time and one unannounced inventory count is taken between the second and third week of each month. The following procedures shall be followed when conducting a physical inventory:

a) Closing Canteens – Canteen Supervisors shall be responsible for ensuring that all offender canteen operators are physically removed from the canteens prior to closing registers and requesting count sheets.

b) Count Sheets – Canteen Supervisors shall be responsible for producing count sheets for the count teams conducting the inventory. Count sheets are generated by the CON system and are used for systematically entering the physical count of every canteen item during the physical inventory.

c) Count Teams – The Warden or designee shall be responsible for selecting individuals on count teams conducting canteen inventories. To ensure there is separation of duties for internal control purposes, count teams shall not include facility staff that have canteen oversight responsibilities, including involvement in receiving, counting, or adjusting inventory or staff that have control of canteen records (IBS and CON records). Specifically, Canteen Supervisors (or their backups), Mailroom, and Trust Fund staff shall not be included on count teams. However, Mailroom or Trust Fund staff that serve as

backup and have not performed inventory counts during the month prior to the current inventory may assist with inventory counts for that current month.

i. Count teams shall consist of two individuals, one of which must be a Division of Institutions employee. While offender canteen operators shall not participate in the inventory process for their own canteen, offender canteen operators may assist in the inventory count for a canteen for which they are not responsible. If an offender canteen operator is selected to assist with a count, the Division of Institutions employee on the count team shall take responsibility for conducting the inventory and for entering the counts on the count sheets.

ii. At least once a year, each canteen shall be inventoried by two Division of Institutions employees, with no assistance from an offender. This inventory may serve as one of the two required monthly inventories for the canteen for that month.

d) Offender Canteen Operators – The Warden or designee shall assign an offender operator to each canteen. In some cases, more than one offender may be justified to manage the volume of sales; however, responsibility for canteen inventory is assigned to only one offender.

e) Systematic Patterns – A systematic pattern for counting inventory shall be developed and used when physical inventories are taken. For example, it is strongly recommended that items be counted from left to right, beginning at the same area for each inventory count. Count sheets shall be arranged by shelf location to ensure a systematic count.

f) Inspection of Boxes – The count team shall inspect all open cases and boxes and randomly inspect sealed cartons to ensure that they contain the appropriate merchandise. Boxes of inventory that appear full shall be inspected to ensure that they are indeed full and not partially used or empty boxes.

g) Recording Inventory Counts – A systematic physical count of every item in the canteen shall be entered on the CON generated count sheets. Once all merchandise is counted and recorded on the CON count sheets, each sheet shall be initialed by the count team, and the final count sheet page shall be signed by all persons involved with conducting the inventory.

h) Entering Physical Count into CON – The Warden or designee shall appoint a staff member to enter the canteen inventory counts into the CON system. This staff member shall not be the Canteen Supervisor, Trust Fund staff, or Mailroom staff.

i) Variances – Once the physical inventory count is complete and inventory counts are entered into the CON system, the CON system shall determine the variance between the CON calculated perpetual inventory and the physical inventory count. The actual physical count should not deviate from the perpetual inventory maintained in CON by more than the acceptable tolerance (See Section VI. D. 5.)

j) If the actual value of the physical inventory deviates from the Store Final Inventory Adjustments report by more than the allowed tolerance, the staff member shall notify the Canteen Supervisor and the Warden or designee. The Warden or designee shall then order a recalculation of the Store Final Inventory Adjustments report to ensure that all invoices for canteen purchases are posted and correct. If the Store Final Inventory Adjustments report is correct, another physical inventory shall be taken. The canteen shall remain closed until the variance is resolved. If the variance still exceeds the acceptable tolerance after the second physical inventory count, the inventory is posted, and the CON system will remove the offender canteen operator from store operation. The Warden shall then determine how to proceed with disciplinary or corrective action.

5. Acceptable Tolerances

a) An acceptable or allowed tolerance is the amount of variance allowed between the physical inventory count and the perpetual inventory calculation in the CON system before disciplinary action should be considered.

b) When there is more than one canteen at the facility, each canteen shall be considered separately for the determination of the allowed tolerance.

i. The calculation of allowed inventory overage or shortage tolerance is automatically computed by CON for each physical inventory count.

a. Overages may be the result of the following:

- Missing invoices;
- Overstated beginning inventory balance; or
- Inadvertently double-counting inventory.

b. Shortages alert the Warden or designee to examine the possibility of the following:

- Operator error in scanning merchandise;
- Operator selling on credit;
- Misappropriation of merchandise; or
- Location to location transfer error.

ii. Memo of Justification – Any time the difference between posted inventory counts (from CON) and the physical inventory count exceeds the allowed tolerance level, a memo of justification shall be signed by the Warden or designee and submitted with the monthly canteen report.

iii. Out-of-Tolerance Reporting Requirements – Any inventory shortage variance that exceeds the allowed tolerance by $100 or more for an individual canteen shall be reported by the Warden as soon as possible. The Warden shall report the shortage to Internal Audit on an DAC Property Incident Report IA-100 Form no later than the due date for the monthly canteen reports. A copy of the IA-100 report shall be

submitted to DAC Welfare Accounting along with the memo of justification.

For example, for a facility that has three canteens, if one of the canteens has an allowed tolerance of $20, and the shortage is $120 for that canteen, the shortage must be reported on the IA-100 report because that individual canteen exceeded the allowed tolerance by exactly $100.

iv. Disciplinary Action

a. Variances within the Allowed Tolerance – When a variance falls within the allowed tolerance, the matter may be handled by the Warden as deemed necessary. The offender canteen operator may or may not be removed from canteen job. Refer to Institutions policy, B .0200 Offender Disciplinary Procedures.

b. Variances Greater than Allowed Tolerance – When a variance is greater than the allowed tolerance, appropriate correction action shall be taken by the Warden. The offender canteen operator shall be removed from the canteen job and, if guilty, disciplinary action shall be taken. The Warden shall attach a memorandum of explanation to the Monthly Canteen Report DC-194. Overage and shortage shall be documented as justification for disciplinary action when removing the offender canteen operator. A copy of the corrective action shall be sent to Internal Audit.

6. Spoiled or Damaged Goods

a) Handling spoiled or damaged inventory items – Spoiled or damaged items from vendors shall be set aside from regular inventory merchandise until a credit memo can be issued or an exchange of items is made, but the bad items are still counted as store inventory until removed. Vendors will usually exchange spoiled or damaged goods on a one-for-one exchange basis or issue a credit. If the vendor does not physically remove the spoiled or damaged item(s), it shall be disposed of by the Canteen Supervisor after proper approval from the Warden or designee.

b) Reporting spoiled or damaged inventory – The Transfers, Damage, or Spoil Report is used to identify items damaged or spoiled.

i. Required information – The Transfers, Damage or Spoil Report shall include documentation that identifies the inventory item number, the quantity, the retail value and the reason for spoilage or damage. It is not sufficient to simply say the inventory was damaged. A reason for damage must be provided, for example: “12 cans of soda were crushed.” Packages with missing or empty contents discovered during normal inventory counts are not considered damaged items. These missing items are counted toward the inventory as a loss and not as damaged-out items.

ii. Required signatures – The canteen supervisor, the offender canteen operator and the facility warden or designee shall sign the Transfers, Damage, or Spoil Report.

iii. Filing report – The Transfer, Damage or Spoil Report shall be included with the other monthly canteen reports submitted to DAC Welfare Accounting.

iv. Memorandum of Justification – If the damages and spoilages exceed $100, the facility warden or designee shall prepare a memorandum explaining the reason for the damaged or spoiled inventory and shall submit the memo of justification with the monthly canteen reports submitted to DAC Welfare Accounting.

E. Monthly Reporting

1. General – All facilities that operate canteens shall submit monthly reports to DAC Welfare Accounting (Controller's Office). Most reports are generated by CON. The Warden or designee shall designate staff to be responsible for printing the end-of-the-month reports and obtaining the appropriate signatures for each report. For more detail to process and print the CON reports, please refer to the CON Manual for step-by-step directions with sample screen prints.

2. Late Reporting – The monthly canteen reports shall be submitted to DAC Welfare Accounting by the 10th business day of the month. If the reports arrive after the 10th business day, the Warden shall prepare a letter of explanation for the late filing to DAC Welfare Accounting. The letter of explanation shall be included with the monthly canteen reports, and a copy of the letter shall also be forwarded to Internal Audit.

3. Monthly Sales Tax Reporting

   E-500 Sales and Use Tax Return – DAC Welfare Accounting shall prepare the E-500 Sales and Use Tax Return form and send the return to the Correction Enterprises Accounting section. Correction Enterprises Accounting files with the North Carolina Department of Revenue each month for all sales tax collected related to canteens sales.

4. Monthly Canteen Reports

   The following is a list of reports that are required to be submitted to DAC Welfare Accounting by the 10th working day of the month. A checklist of these reports has been created and is available in the CON Manual.

   a) Canteen Invoices – Facility Accounting staff shall verify that all invoices are signed by the Canteen Supervisor or staff that accepted delivery from the vendor, the offender canteen operator, the delivery driver (when possible), stamped with the Warden canteen stamp, and signed by the Warden or designee. All invoices shall be stamped "PAID" once the IBS canteen vendor check has been written.

   b) Central Supply Warehouse/Central Pharmacy Invoices – Facility Accounting staff shall ensure that a copy of CON invoices for Central Warehouse and Central Pharmacy are attached to the pick ticket. The purchases from Central Warehouse and Central Pharmacy must match the total on the DC-195's NC DAC General Operations section of

the report. Pick tickets shall be signed by the Canteen Supervisor or staff that accepted delivery, the offender canteen operator, stamped with the Warden canteen stamp, and signed by the Warden or designee. A copy of the Oracle requisition from NCFS matching the pick ticket and CON maintenance order shall also be submitted to DAC Welfare Accounting.

c) Posted Inventory Count – DC-274 – Facility Accounting Supervisor shall ensure that copies of all inventories conducted during a given month are maintained on file at the facility for audit purposes. The DC-274 shall be signed by the Canteen Supervisor, the offender canteen operator, and the Warden or designee.

d) Letter of Explanation for Shortages/Overages – If the Posted Inventory Count exceeds the allowable tolerance level, a memo of justification shall be signed by the Warden or designee and submitted with the monthly reporting package.

e) DAC Property Incident Report IA-100 Form – If the Posted Inventory Count exceeds the allowable tolerance level by $100.00 or more, the facility shall complete an IA-100 report and submit to DAC Internal Audit. A copy of the IA-100 report shall be submitted to DAC Welfare Accounting along with the memo of justification.

f) Transfers, Damage, Spoil Report – Facility Accounting staff shall verify that a summary of the Transfers, Damage, and Spoil report is submitted with the monthly canteen reporting package to DAC Welfare Accounting. The Canteen Supervisor, offender canteen operator, and the Warden shall sign the Transfers, Damage, and Spoil Report. The facility shall also provide documentation that will include the item number, quantity, retail value, and the reason for the destruction. Any time that damages or spoilages exceed $100.00, a memo of justification shall be signed by the Warden or designee and submitted with the monthly reporting package.

g) Any discrepancies in the above reports found at the facility-level shall be reported to Institutions Cashless Canteen Operations and the Division of Institutions Fiscal Training and Support Section. A memorandum of justification shall be prepared providing discrepancy explanations. The justification memorandums shall be sent to DAC Welfare Accounting and included in the monthly canteen reporting package. DAC Welfare Accounting shall then report any discrepancies and forward the justification memorandums to DAC Internal Audit.

5. Online Canteen Reports

The following is a list of reports that are online and may be viewed by the Controller's Office and should be kept on file by the facilities with their canteen report copies.

a) Monthly Canteen Report (DC-194) – The DC-194 is generated by CON and requires two signatures. The person who verifies the figures shall sign and date the report, along with the Warden or designee. This report summarizes receipts, expenditures, and the difference, which is the amount swept electronically from IBS to the DAC Welfare fund.

b) Disbursements (DC-195) – The DC-195 is generated by CON and details the monthly expenditures, including vendor name, order number, date received, date paid, and check number. Facility Accounting staff shall verify that the DC-195 expenditures total agrees with the total expenditures listed on the DC-194, Section 2A. The Accounting Supervisor shall review the DC-195 for accuracy and shall obtain the Warden's or designee's signature upon verifying the report is correct. All original vendor invoices shall be submitted with this report, along with miscellaneous invoices for postage and Central Supply Warehouse/Central Pharmacy pick tickets. A copy of the CON Maintenance Order screen is required to be attached to the Central Warehouse/Central Pharmacy pick tickets only.

c) Sales Summary Report (DC-263) – The DC-263 is generated by CON and details the daily sales for each store and mailroom in the facility with totals for each day. The grand total reported for the month should equal the total receipts as reported under total sales on the DC-194. The DC-263 shall be verified by the Accounting Supervisor and signed by the Warden or designee.

d) Posted Physical Count Summary – DC-274A. The DC-274A provides the summary of each DC-274 posted inventory count taken. The Accounting Supervisor shall verify that the DC-274A totals match the corresponding DC-274 report and shall ensure the reports are signed by the Warden or designee.

e) Perpetual Inventory Record – DC-276. The DC-276 shall be verified by Accounting staff and signed by the Warden or designee. The DC-276 does not have to be sent to DAC Welfare Accounting. It is kept on file for audit purposes.

VII. EXCEPTIONS

Any deviation from procedures contained in this policy shall require written approval from the Deputy Secretary of Institution Administration, Programs and Standards and the DAC Controller or their designee(s).

VIII. REFERENCES

A. NC Gen. Stat. § 148-2(c)
B. DAC-CNTR-800-05 Welfare Fund Policy
C. NC Gen. Stat. § 143B-426.39
D. DAC Property Incident Report IA-100 Form
E. DAC CNTR-800-03 Incentive Wage Imprest Fund Policy
F. DC-976 Offender Canteen Operator Rules and Regulations form
G. DC-195 Canteen Receipts and Expenditures Report
H. CON-022 Cashless On The Net Authorized Merchandise List
I. E-595E Streamlined Sales and Use Tax Certificate of Exemption Form
J. CON Manual
K. DC-754 Request for Item Return
L. DC-194 Monthly Canteen Report
M. DC-963 Inmate Special Draw Request for Tennis Shoes or Reading Glasses

N. DC-263 Sales Summary Report
O. B .0200 Offender Disciplinary Procedures, Institutions Policy
P. E-500 Sales and Use Tax Return
Q. DC-274 Posted Inventory Count
R. DC-274A Posted Physical Count Summary
S. DC-276 Perpetual Inventory Record